

BDR-University Mgmt Model Exit Exam 2015

Which of the following is false about the nature of Organization Behavior?

- A. A Humanistic and Pessimistic Approach
- B. An Applied Science
- C. A Normative Science
- D. A separate field of study and not a discipline only
- E. None of the above

ANSWER: A

Which one of the following is not a dependent variable?

- A. Job satisfaction
- B. OCB
- C. Tenure
- D. Turn over
- E. All of the above

ANSWER: C

The difference between the amount of rewards workers receive and the amount they believe they should receive is_____.

- A. Job satisfaction
- B. Tenure
- C. OCB
- D. Turn over
- E. All of the above

ANSWER: A

A school of thought in the study of OB which argues that there is no single best way to manage behavior is referred to as_____.

- A. Scientific management
- B. Hawthorne studies
- C. Bureaucratic approach
- D. Contingency approach

E. None of the above

ANSWER: D

Which of the following best describes bureaucratic approach to Organization Behavior?

- A. There is no single way to manage behavior
- B. The human element in the work place was considered more important
- C. It makes the historical roots for the field of Organization Behavior
- D. Assumes that one structure would work for all organizations
- E. Assumes that employees are motivated largely by money.

ANSWER: D

Which of the following is false about the relationship between seniority and productivity?

- A. There is a positive relationship between tenure and job productivity
- B. There is a negative relationship between tenure to absence
- C. Tenure has consistently been found to be negatively related to turnover and has been suggested as one of the single best predictors of turnover
- D. Tenure and satisfaction are positively related
- E. None of the above

ANSWER: E

One of the dimensions of intellectual ability that refers to the ability to identify visual similarities and differences quickly and accurately is_____.

- A. Verbal comprehension
- B. Memory
- C. Perception
- D. Number aptitude
- E. None of the above

ANSWER: C

The ability to continue maximum effort requiring prolonged effort over time is known as_____.

- A. Balance
- B. Stamina
- C. Static strength
- D. Body coordination

E. None of the above

ANSWER: B

All of the following are true about the relationship between job satisfaction and job performance except_____.

- A. Job satisfaction and customer satisfaction have positive relationship
- B. Job satisfaction and OCB have negative relationship
- C. Job satisfaction and workplace deviance have inverse relationship
- D. Job satisfaction and organization's effectiveness have direct relationship
- E. None of the above

ANSWER: B

Identify the wrong statement.

- A. Negative reinforcement penalizes an individual for an undesired behavior
- B. Negative reinforcement is the withdrawal of something unpleasant
- C. Social learning theory maintains that models that are different from us have the greatest influence on our behavior
- D. In stereotyping, observers use group characteristics to judge individuals
- E. None of the above

ANSWER: A

Chi square distribution is used to test.

- A. Independence between two variables
- B. The equality of more than two population proportion
- C. Goodness of fit test
- D. All of the above

ANSWER: D

Which of the following test statistics will be used to test a hypothesis with normal population, small sample size and unknown population standard deviation?

- A. F distribution
- B. Student's t distribution
- C. Z distribution
- D. Chi square distribution

ANSWER: B

Which of the following test statistics will be used to test whether the mean of more than two populations means are equal or not?

- A. F distribution
- B. Student's t distribution
- C. Z distribution
- D. Chi square distribution

ANSWER: A

A chi square distribution test used to evaluate whether the data fits with a given set of distribution is_____.

- A. Goodness of fit test
- B. Test of independence
- C. Testing the equality of more than two population proportion
- D. All of the above

ANSWER: A

A type of test in which the less than sign is involved in the alternative hypothesis is _____.

- A. Right tailed test
- B. Left tailed test
- C. Two tailed test
- D. None of the above

ANSWER: B

In hypothesis testing the critical value is obtained by considering the test statistics and _____.

- A. Population distribution
- B. Sample size
- C. Significance level
- D. All of the above

ANSWER: C

Which of the following is not the property of sampling distribution of the mean?

- A. The mean of the sample means is equal to the population mean
- B. The standard error is equal to population standard deviation divided by square root of the sample size
- C. If the population standard deviation is unknown, sample standard deviation will be used to calculate

standard error

D. The mean of the sample proportions is equal to the population proportion

ANSWER: D

The sampling distribution of means is approximately normal for sufficiently large sample sizes ($n \geq 30$).

A. True

B. False

ANSWER: A

A population of $N=10$ is to be sampled by using a sample size of $n=3$. How many different samples can be selected if the sampling is done so that each element of the population can be selected only once in a particular sample.

A. 100

B. 120

C. 150

D. 10

ANSWER: B

What is a cross-sectional research design?

A. A comparison of two or more variables longitudinally.

B. A design that is devised when the researcher is in a bad mood.

C. The collection of data from more than one case at one moment in time.

D. A research into one particular group of society.

ANSWER: C

A structured document that presents a research objectives, design of achieving these objectives, and the expected outcomes/deliverables of the study is called_____.

A. Research proposal

B. Research report

C. Research design

D. Research hypotheses

ANSWER: A

Your colleague is confused about using the research process, as he knows that something is wrong but is not sure of the specific causes to investigate. He seems to be having problems with _____,

which is often the hardest step to take.

- A. Defining the problem and research objective
- B. Developing the research plan
- C. Determining a research approach
- D. Selecting a research agency

ANSWER: A

Which one is called non-probability sampling?

- A. Systematic sampling
- B. Quota sampling
- C. Cluster sampling
- D. Stratified random sampling

ANSWER: B

A complete list of all the sampling unit is_____.

- A. Sampling design
- B. Sampling frame
- C. Sample size
- D. Population frame

ANSWER: B

Which scale measurement has a natural zero?

- A. Ratio
- B. Nominal
- C. Ordinal
- D. Interval

ANSWER: A

What is a sampling unit?

- A. The population
- B. All the individual elements of the final sample, drawn together.
- C. The basic unit containing the elements of the population to be sampled.
- D. The method used to collect the sample.

ANSWER: C

When one examines the entire population instead of a subgroup of the population, this is called a _____.

- A. Sampling
- B. Census
- C. Population
- D. Cluster

ANSWER: B

A final stage in the research process is_____.

- A. Problem formulation
- B. Data collection
- C. Data Analysis
- D. Report Writing

ANSWER: D

In data analysis, using chart is common so what type of chart is useful for showing trends or changes over time?

- A. Pie Chart
- B. Column Chart
- C. Line Chart
- D. Histogram

ANSWER: C

Which quality of an entrepreneur refers to the intensive efforts made to overcome setbacks, risks, obstacles, or difficulties to achieve their goal?

- A. Goal setting
- B. Opportunity seeking
- C. Risk taking
- D. Persevering

ANSWER: D

Which of the following is wrong about business idea?

- A. It identifies among other things the goods/services a proposed business will sell
- B. It can be generated through brainstorming or focus group discussion
- C. A person can jump into business even without a business idea

D. It should be short and precise indicating the most important aspects of the basic operations of a proposed business

ANSWER: C

All of the following are true except_____.

A. Local artisanship serves as a source of business idea

B. A business opportunity with an increasing demand is the one that an entrepreneur should look for

C. The external environment poses both strength and weaknesses

D. An entrepreneur's personal childhood experience can be a base for his future business endeavor

ANSWER: C

Which of the following is not a principle to follow in applying brainstorming as method of business idea generation?

A. No criticizing or censoring of ideas

B. People with better experience are encouraged more than others

C. No interruption once the basic idea of the exercise has been introduced

D. No shyness and no limitations

ANSWER: B

Identify the incorrect statement from the following.

A. Planning is the first and the most crucial step for starting a business

B. A business plan is a road map for starting and running a business

C. Business planning is the blueprint of the step-by-step procedure that would be followed to convert a business idea into a successful business venture

D. Every business idea should be based on knowledge of the market and its needs

ANSWER: C

Which of the following is true?

A. Small scale industries have the tendency to concentrate in big cities

B. Entrepreneurship does exist in a vacuum

C. The purpose of industry analysis is to determine what makes an industry attractive

D. MSEs need relatively small amount of capital

ANSWER: D

Identify the wrong combination.

- A. Product - goods/services
- B. Need - desires for specific satisfiers of needs
- C. Demand - want backed by purchasing power
- D. Value - estimate of product capacity to satisfy needs

ANSWER: B

Mr. Negash has purchased a car for birr 800, 000, and it will be transferred to him after a month. The utility that he enjoys of having a car after a month is_____.

- A. Possession utility
- B. Time utility
- C. Information utility
- D. Place utility

ANSWER: A

Marketing answers all of the following questions except_____.

- A. How do I satisfy my customers as I make a profit?
- B. Who are my customers?
- C. How can I satisfy my customers'?
- D. What are my customer's needs and wants?

ANSWER: A

It holds that consumers will favor products that are widely available and low in cost. Which of the following best describes this statement?

- A. The Production Concept
- B. The Selling Concept
- C. The Marketing Concept
- D. Relationship Marketing

ANSWER: A

What are the two types of forces at work in Lewin's force-field?

- A. Driving forces & restraining forces
- B. Pushing forces & pulling forces
- C. Positive forces & negative forces
- D. Strong forces and weak forces

ANSWER: A

Managing change is an integral part of _____.

- A. Top management's job
- B. Middle-level management's job
- C. The first-line manager's job
- D. Every manager's job

ANSWER: D

Which of the following is not an external force of change?

- A. Marketplace
- B. Government laws & regulations
- C. Economic changes
- D. Workforce

ANSWER: D

Being a manager, with no environmental uncertainty or threat of competitors' new products, would be simple without _____.

- A. Government regulations
- B. Diversity
- C. Cultural differences
- D. Organizational change

ANSWER: D

Changing human resource activities to attract and retain health care specialists due to increased needs for those workers is an example of what kind of environmental change factor?

- A. Marketplace
- B. Technology
- C. Labor markets
- D. Economic

ANSWER: C

Which of the following is not an internal force of change?

- A. Technology
- B. Strategy

- C. Workforce
- D. Employee attitudes

ANSWER: A

Which of the following forces does not drive organizational change?

- A. Social
- B. Globalization
- C. Economic
- D. All are forces that drive organizational change

ANSWER: D

Which of the following refers to the negotiation or an agreement between two groups?

- A. Contracting
- B. Co-opting
- C. Pressure tactics
- D. None of these

ANSWER: B

Conflict is_____.

- A. An unavoidable fact of life
- B. Sometimes constructive
- C. A destructive force in relationships if continually avoided
- D. All of the above

ANSWER: D

Which of the following is an example of conflict triggered by a lack of understanding and miscommunication?

- A. Ego conflict
- B. Pseudo conflict
- C. Relational conflict
- D. Simple conflict

ANSWER: C

Special type of linear programming model where by all the right hand side values of the constraint equations and parameters of the decision variables are one is_____.

- A. Transportation model
- B. Assignment model
- C. Transshipment model
- D. A and B

ANSWER: B

In transportation model, when the number of occupied cells is less than the number of rows plus the number of columns minus one is termed as_____.

- A. Prohibited route
- B. Alternate optimal solution
- C. Degeneracy
- D. Maximum transportation problem

ANSWER: C

In assignment model, the solution is optimal when_____.

- A. The minimum number of diagonal straight lines to cover the zeros are equal to the number of rows
- B. The minimum number of horizontal and/or vertical straight lines to cover the zeros are equal to the number of rows, but not columns
- C. The minimum number of horizontal and/or vertical straight lines to cover the zeros are equal to the number of rows which is also equal to the number of columns
- D. The minimum number of horizontal and/or vertical straight lines to cover the zeros are equal to the number of columns, but not rows

ANSWER: C

If a company wants to know the lowest cable distance required to create a network between its branches in a given country, the network model it has to use to solve the problem is_____.

- A. Shortest route model
- B. Minimum spanning tree model
- C. Maximum flow model
- D. Critical path method

ANSWER: B

The late finish time of a given activity will be except_____.

- A. Its early finish time, if the activity is the last activity
- B. The late start time of its follower if it has only one follower

- C. The smallest late start time of its followers
- D. The largest late start time of its followers

ANSWER: D

The allowable increase in calculating range of feasibility in minimization problem will be_____.

- A. The smallest positive ratio of the right hand side value to the corresponding substitution rates of the final table
- B. The smallest negative ratio of the right hand side value to the corresponding substitution rates of the final table
- C. The largest positive ratio of the right hand side value to the corresponding substitution rates of the final table
- D. The largest negative ratio of the right hand side value to the corresponding substitution rates of the final table

ANSWER: A

Which of the following is true?

- A. Simplex approach can be used to solve problems with only two decision variables
- B. Graphic approach can be used to solve any type of linear programming model
- C. If the objective function and one of the constraints in the given LPM are parallel, the problem has multiple optimal solution.
- D. All of the above

ANSWER: C

The linear programming assumption which is not directly observable from the mathematical model is_____.

- A. Certainty
- B. Divisibility
- C. Non-negativity
- D. Linearity

ANSWER: B

In solving linear programming model, if there is an entering variable without leaving variable, the situation is termed as_____.

- A. Degeneracy
- B. Unboundedness
- C. Multiple optimal solution

D. Unique solution

ANSWER: B

A feasible solution to a Linear programming problem

A. Need not satisfy all of the constraints, only some of them

B. Must be a corner point of the feasible region

C. Must satisfy all of the problem's constraints simultaneously

D. Must optimize the value of the objective function

ANSWER: C

The graphical method of solving Linear Programming Model is different from the simplex technique in that

A. The former is more complex than the later

B. The later handles more variables than the former

C. The former handles problems with more than three variables

D. All are answers

E. None of choices are answers

ANSWER: B

Which of the following is false about the functional area classification of information system?

A. It is an outdated way

B. It creates functional islands of information

C. It requires cross functional information system

D. All of the above

E. None of the above

ANSWER: E

Which of the following is different from others?

A. Windows XP

B. Microsoft Word

C. Adobe Photoshop

D. Spreadsheet programs

ANSWER: A

The result of Management information system produced only when pre-established "out of bounds"

conditions occur is_____.

- A. Early detection of problems
- B. Exception reports
- C. Ad hoc reports
- D. All of the above
- E. None of the above

ANSWER: B

A manager of a company faced a situations where decision are semi-structured and unstructured. Which of the following information system provides the manager the required help to perform his/her task?

- A. Transaction processing system
- B. Management information system
- C. Decision support system
- D. All of the above

ANSWER: C

Which of the following is a Manufacturing and Production System?

- A. Portfolio Analysis system
- B. Machine control system
- C. Career pathing system
- D. Budgeting system

ANSWER: B

Almaz, a known expert in a company, transformed the data she has obtained into information by considering the purpose the data was collected. The method she used is_____.

- A. Calculation
- B. Contextualization
- C. Conversation
- D. Correction
- E. All of the above

ANSWER: B

In creating knowledge from information, a known expert in company gathers different viewpoints from different experts on the issue under discussion. The method the person used is_____.

- A. Comparison
- B. Consequence
- C. Connections
- D. Conversation

ANSWER: D

Which of the following is False about Explicit knowledge?

- A. It is knowledge of rationality
- B. It is sequential knowledge
- C. It is analog knowledge
- D. It is knowledge in the mind
- E. All of the above

ANSWER: C

Mr. Abebe has a special skill of developing an item. He always discuss his technical skill with his friends during tea breaks. The mode of knowledge conversion he is using is termed as_____.

- A. Socialization
- B. Externalization
- C. Internalization
- D. Combination

ANSWER: A

W/o Yिताftu has the capacity of making the best "doro wet" in Ethiopia. For the purpose of sharing her special capacity she wrote a book that shows how to make the best "doro wet". The mode of knowledge conversion she is used is termed as_____.

- A. Socialization
- B. Externalization
- C. Internalization
- D. Combination

ANSWER: B

Knowledge externalization is possible through_____.

- A. Communication enablers
- B. Video conferencing
- C. Yellow pages

- D. Digital white boards
- E. None of the above

ANSWER: C

Which of the following is not function of human resource management?

- A. Staffing
- B. Compensation
- C. Equal employment opportunity
- D. None of the above

ANSWER: D

Which of the following HRM activity is performed first?

- A. Job analysis
- B. Job descriptions
- C. Job specifications
- D. None of the above

ANSWER: A

All of the following are importance of human resource planning, except_____.

- A. Provides mechanisms to eliminate gaps that may exist between supply and demand
- B. To cope with future uncertainties
- C. Deploying the right kind of personnel to the right kind of job at the right
- D. None of the above

ANSWER: D

Which of the following is not purpose of job analysis?

- A. Determine training and development needs for employees
- B. Compensate employees fairly and equitably
- C. Helps to set a realistic performance standards
- D. None of the above

ANSWER: D

All of the following are objectives of development program, except_____.

- A. To ensure better leadership behaviour by improving the managers' leadership styles, communication skills, motivational skills and commitment

- B. To help the managers prioritize and optimize the resources of the organization so as to achieve its goals effectively
- C. To help the managers cope with the rapidly changing and complex business environment
- D. None of the above

ANSWER: D

Which of the following is the correct sequence of steps in the process of training?

- A. Need assessment -> Implementation -> Evaluation
- B. Need assessment -> Evaluation -> Implementation
- C. Evaluation -> Implementation -> Need assessment
- D. None of the above

ANSWER: A

Which of the following is not direct financial compensation?

- A. Insurance
- B. Salary
- C. Wage
- D. None of the above

ANSWER: A

A reward based on how well a job was done is known as _____.

- A. Benefits
- B. Merit incentives
- C. Allowance
- D. Salary

ANSWER: B

Which one is the feature of benefits?

- A. Benefits are basically enjoyed by all employees
- B. Benefit is provided based on the productivity of employees
- C. Benefits are directly linked to performance
- D. None of the above

ANSWER: A

Which of the following is an example of time-off benefit?

- A. Retirement benefit
- B. Maternity leave
- C. Employee service
- D. Insurance benefit

ANSWER: B

Performance appraisal begins with.

- A. Measuring actual results
- B. Taking corrective action
- C. Communicating results
- D. Establishing standards

ANSWER: D

Select the one which is not an example of discrete variable (data);

- A. The number of cars sold on franchise.
- B. The number of students in a class.
- C. The weight of new born babies.
- D. Family size

ANSWER: C

Which of the following data sets has no mode?

- A. {4, 7, 7, 9, 10}
- B. {2, 2, 3, 3, 4, 4}
- C. {1, 1, 2, 3, 4, 4}
- D. {2, 2, 4, 5, 7, 8}

ANSWER: B

The mean and the variance are always equal in which of the following distribution?

- A. Binomial distribution
- B. Poisson distribution
- C. Hypergeometric distribution
- D. All of the above

ANSWER: B

Which of the following data sets has a median of 7.5?

- A. {6, 7, 8, 9, 10}
- B. {7, 3, 5, 8, 14, 10}
- C. {1, 3, 7, 10, 14}
- D. {2, 7, 9, 11, 14, 17}

ANSWER: B

Identify the false statement by consider each of the following three sets.

Set I: {5, 5, 5, 5}, Set II: {4, 4, 6, 6} and Set III {3, 3, 7, 7}.

- A. The mean of the three sets are 5.
- B. The mode of the three sets are 5.
- C. The mean of the three sets are 5.
- D. The standard deviations of set I, II and III are 0, 1, and 2 respectively.

ANSWER: B

The mean age of six persons is 46 years. The age of these six persons are 57, 39, 44, 51, and 37 years respectively. The age of the sixth person is _____ year.

- A. 38
- B. 45.6
- C. 48
- D. 55.2

ANSWER: C

What is the outcome of playing a football game?

- A. Playing a football game
- B. Not losing, not wining
- C. Either win, lose or tie
- D. A and B

ANSWER: C

The measures of dispersion can never be.

- A. Posetive
- B. Negative
- C. Zero

D. Equal to one

ANSWER: B

The cultural similarity is perceived by some as greater between the USA and the UK than the UK and France, given perceived similarities in language and cultural values. This is an example of_____.

A. Normative proximity

B. Geographic proximity

C. Marketing proximity

D. Psychological proximity

ANSWER: D

Businesses that benefit from being able to market their products in exactly the same way across the world are engaged in_____.

A. External economies of scale

B. Global marketing

C. International marketing

D. Multinational trade

ANSWER: B

Which of the following alternative market entry modes offers the least risk?

A. Consortia

B. Strategic International Alliance

C. Contract Manufacturing

D. Mergers and Acquisitions

ANSWER: C

Starbucks uses the same green and black logo on its paper cups and sells the same concept all around the world. This is an example of_____.

A. Combination market approach

B. Product extension approach

C. Standardization orientation approach

D. Traditional marketing concept

ANSWER: C

Ethnocentrism can simply be defined as_____.

- A. Developing a simple diverse strategy for new markets
- B. Develop one strategy for all countries worldwide
- C. Use everywhere the same strategy as at home.
- D. Being ethnically centred on a global scale

ANSWER: C

Shift share analysis_____.

- A. Emphasizes the changes in market share over time for each member of the importing companies
- B. Emphasizes on the market trends
- C. Emphasizes on the price distribution
- D. Shifts the market drift

ANSWER: A

Which of the following is a government grant of certain rights given to an inventor for a limited time in exchange for the disclosure of the invention?

- A. Copyright
- B. Trade secret
- C. Patent
- D. Trademark

ANSWER: C

Which of the following is the most generic name to describe corporations operating around the world?

- A. TNC
- B. MNE
- C. MNC
- D. Global Corporation

ANSWER: C

Which of the following is the unauthorized copying and production of a product?

- A. Patent
- B. Trade secret
- C. Counterfeiting
- D. Copyrights

ANSWER: C

Which of the following forms of law was derived from English law?

- A. Code law
- B. Common law
- C. Religious law
- D. Civil law

ANSWER: B

Your marketing environment is currently researching the size, density, location, age, and occupations of your target market. What is this environment?

- A. Geographic
- B. Demographic
- C. Psychographic
- D. Economic

ANSWER: B

Rising costs and inflation are part of the uncontrollable _____ environment.

- A. Cultural and social
- B. Technological
- C. Economic
- D. Legal

ANSWER: C

Mr. Solomon Desta, director of procurement at ABC, Inc. must approve every purchase order, and Mrs Helen Mebratu, purchasing manager, must authorize any sales representative who wants to talk to a ABC employee. Solomon and Helen are acting as _____ and _____, respectively.

- A. Decider and gatekeeper
- B. Influencer and user
- C. Gatekeeper and influencer
- D. Buyer and decider

ANSWER: D

We define a _____ as anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need.

- A. Service encounter
- B. Private brand

C. Service

D. Product

ANSWER: D

Price is the only element in the marketing mix that produces _____.

A. Stability

B. Revenue

C. Variable costs

D. Expenses

ANSWER: B

The five dimensions of service quality that apply across a variety of service context include:

A. Reliability, responsiveness, assurance, empathy, and tangibles

B. Reliability, responsiveness, perceived value, customer satisfaction, and empathy

C. Reliability, responsibility, assumptions, empirical evidence, and tangibles

D. Reliability, validity, responsibility, assurance, empathy

ANSWER: A

Sales managers must understand consumer protection laws, differences in decision making, differences in negotiating styles and perceptions of time to achieve their goal. This is;

A. Recruiting the sales force

B. Knowledge of their environment

C. Planning for sales

D. Supervising the sales force

ANSWER: B

As a product moves through its product life cycle _____.

A. Customers' attitudes and needs may change

B. The nature of competition moves toward pure competition or oligopoly

C. Entirely different target markets may be aimed at

D. All of the above

ANSWER: D

The use of short-term incentives to encourage the purchase or sale of a product or service is called _____.

- A. Public relations
- B. Direct marketing
- C. Sales promotions
- D. Personal selling

ANSWER: C

Of the five generic service-quality dimensions, _____ is the ability to perform the promised service dependably and accurately.

- A. Reliability
- B. Assurance
- C. Empathy
- D. Responsiveness

ANSWER: A

Suppose that a firm deposits Br. 5,000 at the end of each year for four years at 6 per cent rate of interest. What is the present value of this annuity?

- A. Br. 18,436
- B. Br. 17,933
- C. Br. 17,333
- D. Br 18,733

ANSWER: C

Consider a common stock that paid a Br 5 dividend per share at the end of the last year and is expected to pay cash dividend every year at a growth rate of 10%. Assume the investor's required rate of return is 12% .what would be the value of the stock?

- A. Br. 275
- B. Br. 270
- C. Br. 375
- D. Br. 370

ANSWER: A

In comparison to industry averages, ABC Corp. has a low inventory turnover, a high current ratio, and an average quick ratio. Which of the following would be the most reasonable inference about ABC Corp.?

- A. Its inventory level is too high.
- B. Its cost of goods sold is too low.

C. Its cash and securities balance is too low.

D. Its current liabilities are too low.

ANSWER: A

Last year ABC Company had sales of br.200 million and its inventory turnover ratio was 5.0. The company's current assets totaled 100 million and its current ratio was 1.2. What was the company's quick ratio?

A. 1.12

B. 0.87

C. 0.72

D. 0.59

ANSWER: C

The_____ shows the dollar amount investors will pay for \$1 of current earnings.

A. price-to-earnings ratio

B. Basic Earning Power

C. Market to Book value ratio

D. Return on Equity

ANSWER: A

An investment earns an annual interest rate of 12 percent compounded quarterly. What is the effective annual rate?

A. 3.00%

B. 12.55%

C. 12.00%

D. 14.65

ANSWER: B

Assume project X involves an outlay of Br 40,000 at 12% discount rate. The cash inflow of the project is Br 8,000, 15,000, 20,000 and 25,000 from year 1 through four. Calculate the discounted payback period of the project?

A. 4.2

B. 3.4

C. 2.6

D. 2.8

ANSWER: B

If the cash flows of one project cannot be influenced by the acceptance of the other, the projects are.

- A. Mutually exclusive projects
- B. Contingent projects
- C. Independent projects
- D. Unrelated projects

ANSWER: C

A stock you are evaluating paid a dividend of Br. 4 at the end of last year. Dividends have grown at a constant rate of 4% per year over the next 20 years and this constant growth rate is expected to continue for indefinite period. The required rate of return on the stock is 9%. What is the value of this stock?

- A. 91.35
- B. 87.90
- C. 83.20
- D. 81.45

ANSWER: C

Which of the following reasons is responsible for corporations being the most important form of business organizations?

- A. Corporations have limited life.
- B. Stockholders have unlimited liability
- C. Corporations are subject to less government regulation
- D. Corporations have the ability to raise larger sums of capital

ANSWER: D